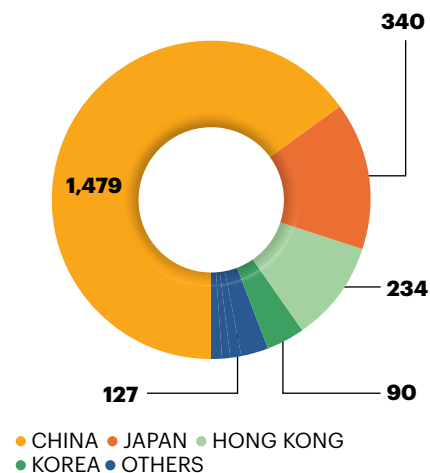




IMPORT PICTURE

• India's imports of permanent magnets jumped from 1,945 tonnes in FY23 to 2,270 tonnes in FY24



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ing scheme for inter-ministerial consultations to strengthening domestic manufacturing and cut down reliance on imports for key components.

“We have floated the rare earth magnet processing scheme for inter-ministerial consultations,” says Kamran Rizvi, Secretary, Ministry of Heavy Industries. The proposed financial allocation is ₹1,345 crore.

Additionally, companies such as Sterling GTake plan to export ferrite magnet motors globally. “Between AEM and us, we want to be globally competitive. As opportunities open, we hope to leverage Indian competitiveness to build export markets too,” says Wadhwa.

With India targeting 30% EV penetration by 2030, ICRA’s Makkar says the industry will find an engineering workaround to make sure that these supply chain-relat-

ed fracture points do not come in the way of electrification.

“It remains to be seen whether this is a temporary disruption or a sign of deeper, long-term issues. If it’s just short-term posturing, the momentum behind India’s EV transition is unlikely to be affected. But if the challenge persists and becomes more chronic, it could pose some roadblocks. That said, the industry has invested significantly, and we believe creative and engineering workarounds will emerge to ensure that supply chain fractures don’t derail the larger trajectory,” says Makkar.

Yet, even as domestic OEMs pursue sustainable, long-term alternatives, the undeniable reality remains: China continues to hold a firm grip on the global critical minerals supply chain.

As India races toward its EV ambitions, the rare earth magnet crisis underscores a crucial inflection point for the industry.

While short-term disruptions have prompted immediate engineering pivots—like ferrite and induction-based alternatives—broader challenges remain. For domestic automakers, start-ups, and policymakers, this moment is as much about innovation as it is about resilience. **BT**

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